

HOW THEY STACK UP

Environmental Performance of Leading Indian Pharmaceutical Companies

Sun Pharma	Dr. Reddy's	Cipla	Lupin	Biocon	Aurobindo Pharma
RENEWABLE ENERGY USAGE (%) OF TOTAL					
38% (FY24)	48% (FY24)	N/A (aiming carbon neutral status by Dec 25)	33.8% (FY24)	N/A	~14% (power to power, FY24)
SCOPE 1 & 2 GHG EMISSIONS REDUCTION (%) (VS. BASELINE)					
18% (vs. 2020 baseline)	14% absolute reduction (from previous FY)	Aiming carbon neutral status by Dec 2025	21% reduction in Scope 1 & 2 (from previous year)	Set definitive targets for GHG emission reduction	~16% (reduction compared to FY20)
WATER CONSUMPTION REDUCTION (%) (VS. BASELINE)					
21% (vs 2020 baseline). Achieved 10% target ahead of 2025	7% reduction in fresh water intensity (from previous FY)	Aiming to be water neutral by Dec 2025	44% of total water withdrawn recycled (FY24)	Set definitive targets for freshwater consumption reduction	~23% (reuse of waste water out of total waste water generated, FY24)

EXPLAINER Several Indian pharmaceutical companies have disclosed progress on key environmental indicators, with reported increases in renewable energy usage, emissions control and wastewater recycling. While some firms like Dr. Reddy's and Sun Pharma have provided year-on-year reductions, others such as Cipla and Biocon have set medium-term sustainability targets, reflecting ongoing efforts to balance operational growth with climate goals

SOURCE COMPANIES

and climate resilience are emerging as key drivers of competitive advantage for the Indian pharmaceutical sector. Industry leaders are increasingly prioritising impact pillars such as green chemistry, circularity, energy transition, water stewardship, and equitable access to affordable healthcare,” says Nitesh Mehrotra, Partner, Sustainability & Resilience at EY India. But the winds of change are evident, he adds.

GROWTH PUSH

The pressure is mounting on multiple fronts. Domestic policy is slowly but surely nudging the sector toward

compliance. The National Action Plan on Climate Change (NAPCC), revised Plastic Waste Management Rules, and the Central Pollution Control Board's Extended Producer Responsibility (EPR) norms are all contributing to a more accountable manufacturing landscape.

Investors are also turning up the heat. According to the International Finance Corporation, ESG compliance is fast becoming a prerequisite for access to global capital.

At the same time, the Indian government's Production Linked Incentive Scheme — with an outlay of ₹15,000 crore from 2020–21 to

2028–29—includes sustainability benchmarks. Another ₹1,000 crore has been earmarked in FY25 to establish bulk drug parks aimed at reducing import dependence.

Challenges apart, the sector's momentum is strong. According to the India Brand Equity Foundation, the Indian pharma market was valued at \$31 billion in FY24 and is expected to grow at a CAGR of 12% through 2028. The sector, which accounts for nearly 3% of India's GDP, is working hard to aid in the country in the sustainability journey. **BT**

@neetu_csharma